



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Mr Joseph & Mrs Josephine Giaquinta
Of

6 Warren Park Place
NARRE WARREN SOUTH VIC 3805

Prepared on:

28th January 2015

By your Adviser:

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

28/01/2015

Mr Joseph & Mrs Josephine Giaquinta
6 Warren Park Place
Narre Warren South VIC 3805

Dear Joseph and Josephine,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Retirement planning
- Structure and ownership of future investments
- Business structure
- Superannuation structure
- Retirement planning
- Estate planning

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Joseph and Josephine, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Review your overall asset position (including superannuation portfolio) and ensure that it is structured in the most effective manner.
- Ensure investment assets are owned in the most tax effective structure.
- Explore ways in which to maximise your retirement nest egg as you move into the last phase of your working life.
- Place your future assets within the superannuation environment to maximise tax effectiveness.
- Minimise your tax commitments.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

	Mr	Mrs
Title	Mr	Mrs
First Name	Joseph	Josephine
Surname	Giaquinta	Giaquinta
Gender	M	F
Date of Birth	12/06/1950	19/03/1954
Age Last Birthday	64	60
Marital Status	Married	Married

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home (Narre Warren South)	\$1,000,000
Total Lifestyle Assets	\$1,000,000
Investment Assets	
Investment Property (Berwick)	\$380,000
Commercial Property (Keysborough factory)	\$380,000
Residential development (Noble Park)	\$100,000
Total Investment Assets	\$860,000
Superannuation Assets (SMSF – J & J Superannuation Fund)	
Land (Cranbourne)	\$230,000
Cash	\$100,000
Total Superannuation Assets	\$330,000
Total ASSETS	\$2,190,000

LIABILITIES

Debt secured by Narre Warren residential property	
➤ Loan for Noble Park development	\$100,000
➤ Loan for business purposes	\$30,000
Total Liabilities	\$130,000
NET WORTH	\$2,060,000

Notes: As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon our discussions at our meeting held on 14/01/2015, we would consider you to have a *Balanced* Investor Risk Profile in regard to your investments inside the superannuation environment.

However, you have clearly indicated that you would like to consider borrowing within superannuation to potentially increase your exposure to investment assets (including property) within this environment. As an industry guideline, borrowing to invest, i.e. a gearing strategy, is not recommended for a 'balanced' risk profile investor. However, after our discussions and as per your specific request, you are aware of the risks involved with this strategy, and would like for me to include this as a recommendation within this SoA.

Typically, a **Balanced** investor has the following characteristics:

- The Balanced investor will typically operate a portfolio evenly split between interest bearing securities and growth oriented investments.
- An exposure to a range of investment sectors including cash, fixed interest, property and shares ensures the portfolio is “truly” balanced.
- Investors are typically comfortable with a variability of their capital over a 5 year horizon while their portfolio builds a growing income stream and capital growth.

A Balanced investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	20%
Fixed Interest	26%
Property	14%
Cash	6%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth.

If you feel the above investor profile does not reflect your attitude as an investor, or the recommended portfolio contained in this report is too aggressive or conservative, please let me know so I may adjust my recommendations accordingly.

Our recommendation has been made given your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2014-15

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$37,000	19c for each \$1 over \$18,200
\$37,001 – \$80,000	\$3,572 plus 32.5c for each \$1 over \$37,000
\$80,001 – \$180,000	\$17,547 plus 37c for each \$1 over \$80,000
\$180,001 and over	\$54,547 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase - Tax rate = 15%

Superannuation in 'pension' phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation phase	Super pension phase	
			Age 55-59	After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Marginal tax rate (less 15% rebate) + medicare	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free	Tax free
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free	Tax free

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

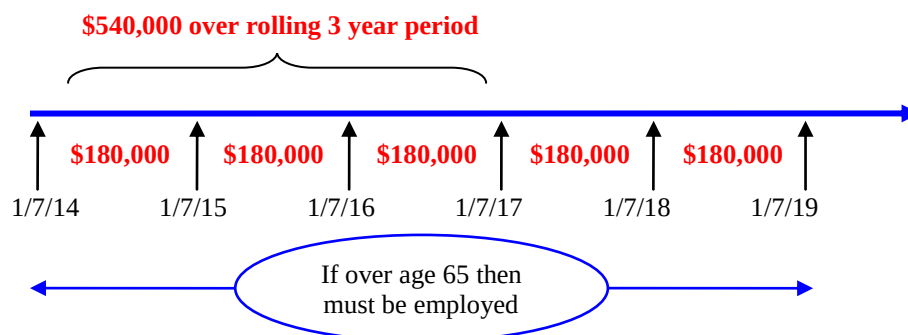
Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-65	Age 65-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only

*Must be employed at least 40 hours during any consecutive 30 day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 65	Age 65 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed*	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed*	Cannot contribute



Superannuation Structure

You currently have a Self-Managed Superannuation Fund (SMSF) with a combined balance of approximately \$330,000. The assets within the fund consist of approximately \$100,000 in cash and land in Cranbourne valued at approximately \$230,000. The fund is currently in 'Accumulation Phase'. As you have both reached preservation age, you are entitled to move your SMSF into 'Pension Phase'.

Current legislation allows you to commence a non-commutable income stream with your superannuation monies without having to satisfy a condition of release. From age 60, all income received from this income stream is tax free. Once you have commenced an income stream all income on the amount funding the income stream is tax free as opposed to being taxed at 15% when in accumulation phase.

The minimum pension amount that you can draw is 4% of your account balance per annum whilst the maximum pension is 10% and is re-calculated in July each year.

The additional income received from your pre-retirement income stream allows you to make additional contributions to superannuation. These contributions are pre-tax contributions and therefore result in a reduction of assessable income. These superannuation contributions are concessional tax at a maximum of 15% as opposed to marginal tax rates of up to 47%.

The 'Transition to Retirement' strategy results in an increased net inflow to superannuation and therefore a maximisation of your retirement savings in a tax effective manner.

Recommendation:

- Move your SMSF into pension phase and commence a pre-retirement income stream of between 4% and 10% of the fund's balance.
- This pension income is to be used to supplement your additional contributions to superannuation.

Benefits:

- All income generated within the SMSF will no longer incur tax.
- Any gains realised by the SMSF upon sale of assets will not incur any Capital Gains Tax (CGT).
- By commencing a pre-retirement income stream you are increasing your income in a tax effective manner and therefore allowing you to make additional contributions to the fund.
- There is an immediate income tax benefit on withdrawal and re-contribution via contributions, as a result of this strategy.

Ownership of Keysborough Factory

The commercial premises located at 6B Kempson Court, Keysborough is currently owned in your joint names. There are certain disadvantages of owning this property under this structure, namely:

- Any rental income paid by the business must be paid to you personally and therefore taxed at your respective marginal tax rates
- If the property was to be sold and a capital gain realised, any assessable gain would be added to your respective taxable incomes in that particular year and subsequently taxed at your marginal tax rates.
- The asset is not currently protected from any potential litigation against you or your business.

Recommendation:

- Consider transferring the ownership of your Keysborough factory to your Self-Managed Superannuation Fund (SMSF).

Considerations:

When transferring the ownership of property from one entity to another, the following must be taken into consideration:

- A. Stamp duty implications
- B. Capital Gains Tax (CGT) implications

These items are addressed in the following sections.

A. Stamp Duty Implications

We would suggest the following structure in terms of moving this property into the J & J Superannuation Fund:

- A formal valuation is to be obtained prior to the transfer (current estimated value is \$380,000)
- Transfer the property into the J & J Superannuation Fund via 'In Specie' contributions in the following manner (assuming a value of \$380,000):

Concessional contribution (Joseph)	\$ 26,000*
Concessional contribution (Josephine)	\$ 26,000*
Non-concessional contribution (Joseph)	\$164,000
Non-concessional contribution (Josephine)	<u>\$164,000</u>
TOTAL CONTRIBUTIONS	\$380,000

(These contributions remain within the superannuation contribution limits detailed on **Page 13**)

* Assumes current superannuation contributions totalling \$18,000 (\$9,000 each) are being made.

Benefits:

- Stamp Duty of \$15,370 would normally be payable on the transfer of a property of this value. However, **there will be no Stamp Duty payable under this structure.** In **Appendix B**, we have included the relevant section of the Duties Act 2000 which effectively states that Stamp Duty would not be payable. Namely:

Section 41 – relates to no duty being payable if the property is transferred to Joseph and Josephine as Trustees of the Superannuation Fund.

B. Capital Gains Tax (CGT) Implications

Background Information

This section of the Statement of Advice provides you with advice in relation to the application and consequences of (CGT) for small businesses.

We understand that the property is 100% owned by Joseph and Josephine as Joint Tenants and that the current value is approximately \$380,000

You have advised that the cost base of the commercial property was approximately \$200,000.

Therefore the capital gain on the sale / transfer of the property is calculated as follows:

Market value	\$ 380,000
Less Cost Base	<u>(\$200,000)</u>
Capital Gain	\$ 180,000

Capital Gains Tax Legislation

Sec 152 of the Income Tax and Assessment Act 1997 governs the laws and regulations relating to the application of CGT which states the following:

The capital gain from a disposal of a CGT asset that occurred after 21 September 1999 may be reduced using either or both of the following methods.

- (1) The CGT discount – 50% discount for individuals if the asset was held for more than 12 months and /or
- (2) One or more of the four CGT concessions available for small business
 - a. The Small business 15 year exemption ;
 - b. The Small Business 50% active asset reduction;
 - c. The Small Business Retirement Exemption; and
 - d. The Small Business Rollover Relief

Basic conditions that must be met before applying the CGT relief

Sec 152-10 states that there are **4** conditions that must be met before applying for the CGT concessions available for small business.

CONDITION 1

- A CGT event happened in relation to a CGT asset in an income year.
- CGT event is defined as a disposal of CGT asset.
- CGT asset is any kind of property.

Condition 1 will be met as the commercial property will be sold / disposed of.

CONDITION 2

- The event has resulted in a gain

Condition 2 will be met – Capital gain is \$180,000.

CONDITION 3

- At least one of the following applies:
 - (1) You are a small business entity for the income year. A small business entity is defined as having an aggregate turnover of less than \$2 million for the previous year and your aggregate turnover for the current year is less than \$2 million;
 - (2) You satisfy the maximum net asset value test. You meet this test if the sum of the net value of the CGT assets of yours and any entities connected with you does not exceed \$6,000,000. (Please note the residential home is not included in this calculation)

Condition 3 will be met as your Net Turnover as at 30 June 2014 was under \$2 Million and your net assets do not exceed \$6 Million.

CONDITION 4

- The CGT asset has satisfied the active asset test.
- Sec 152-35 states the following:
 - A CGT asset satisfies the active asset test if:
 - you have owned the asset for 15 years or less and the asset was an active asset for at least half of the period **OR**
 - You have owned the asset for more than 15 years and the asset was an active asset for a total of at least 7 ½ years
 - Active asset means that you owned the asset and it is used or held ready for use in the course of carrying on a business.

Condition 4 will be met because you have owned the asset for more than 15 years and the property has been used 100% for the purpose of carrying on the business.

Analysis of CGT Relief

- (1) The discount percentage to be applied to individuals is **50%**. As the CGT event would transpire in your individual names and the asset has been held for more than 12 months, then you are entitled to the 50% reduction.

Capital Gain	\$180,000
Less 50% discount	<u>(\$ 90,000)</u>
Assessable Capital Gain	\$ 90,000

- (2) Furthermore, based on the above, it appears that all **4** conditions have been met. Therefore we can apply for CGT relief for small business concessions by applying the following option:

CGT Concession Option

Option A – 15 year exemption

- This method can only be applied if the CGT asset was continuously owned for the 15 year period.
- **This method can be used** as the property was purchased more than 15 years ago.
- **As such you can disregard the entire amount of the capital gain and this amount is considered to be the “CGT exempt amount”.**

Therefore, the following CGT concession options need not be applied as the total capital gain will be considered exempt under Option A:

Option B - the Small Business 50% active asset reduction;

Option C - the Small Business Retirement Exemption; and

Option D - the Small Business Rollover Relief

Recommendation:

Based on our analysis, our recommendation is to:

- (1) Apply the 50% capital gains discount and
- (2) Apply the 15 year exemption

We believe this is a favourable outcome as the total capital gain will be disregarded.

Investments within SMSF

Your SMSF currently has the following approximate asset allocation:

Cranbourne block of land	\$230,000
Cash	<u>\$100,000</u>
	\$330,000

Recommendation:

- Consider selling the Cranbourne block of land as current superannuation legislation prevents you from borrowing to develop this land and you do not have sufficient funds within the SMSF to develop the land without borrowing.

Basis of Recommendation:

- Without developing the land, the potential for capital growth is significantly reduced, thus limiting your ability to increase the value of your SMSF leading into retirement.
- Upon sale, the funds may be utilised to invest in other asset classes, thus providing you with diversification.
- There will be no CGT on the sale of the land if your SMSF is in Pension Phase.

Under the suggested strategy, your SMSF will have an approximate cash balance of \$230,000 (after taking into consideration funds potentially required for a future property purchase within the fund as detailed later in this SoA). We have provided some suggestions below in terms of how the monies may be invested in a portfolio that is in line with your **Balanced** Risk Profile. In light of the intention to purchase direct property within your SMSF and the recommendation to move your Keysborough factory into your SMSF, we have excluded property as an asset class from the recommended portfolio:

Balanced:

Asset Class	% of Portfolio	Value
Australian Shares	38%	\$ 87,400
International Shares	24%	\$ 55,200
Fixed Interest	30%	\$ 69,000
Property	0%	\$ 0
Cash	8%	\$ 18,400
	100%	\$230,000

Recommendation:

International Shares

Investment Name	Investment Value	Management Expense Ratio (MER)
Colonial FirstChoice Wholesale Platform*		
<i>BT Core Wholesale Global Share Fund (AQR)</i>	\$15,456	1.31%
<i>Platinum Wholesale International</i>	\$13,248	1.82%
<i>Perpetual Wholesale International Share Fund</i>	\$13,248	1.36%
<i>MFS Wholesale Global Equity</i>	\$13,248	1.21%
Total Investment	\$55,200	

Fixed Interest – Option 1

Investment Name	Investment Value	Management Expense Ratio (MER)
Colonial FirstChoice Wholesale Platform*		
<i>FirstChoice Wholesale Fixed Interest^</i>	\$69,000	0.75%
Total Investment	\$69,000	

Fixed Interest – Option 2

Investment Name	Investment Value	Management Expense Ratio (MER)
Term Deposit°	\$69,000	0%
Total Investment	\$69,000	

^ Performance figures (net of MER) for the FirstChoice Wholesale Fixed Interest Fund as at 31/12/14 are as follows:

3 months	1 year	2 years	3 years	5 years	7 years	Since inception	Inception date
2.93%	9.30%	5.66%	6.91%	7.71%	7.31%	6.61%	17/04/02

° The highest rates currently available for term deposits of \$99,000 for a term of 6 months are:

- Bankwest - 3.50%
- ING - 3.50%
- UBank - 3.46%

° The highest rates currently available for term deposits of \$99,000 for a term of 12 months are:

▪ UBank	-	3.56%
▪ Bankwest	-	3.50%
▪ ING	-	3.50%

Australian Shares – Option 1

Investment Name	Investment Value	Management Expense Ratio (MER)
Colonial FirstChoice Wholesale Platform*		
<i>BT Wholesale Core Australian Share</i>	\$22,724	1.01%
<i>Fidelity Wholesale Australian Equities</i>	\$22,724	1.06%
<i>Perennial Wholesale Value Australian Share</i>	\$22,724	1.00%
<i>Ausbil Australian Emerging Leaders</i>	\$19,228	1.11%
Total Investment	\$87,400	

*Refer to **Appendix A** for further information on Colonial FirstChoice Investments

Australian Shares – Option 2

Investment Name	Investment Value	Indicative Management Cost
Direct Shares¹	\$87,400	<i>Cost of brokerage (typically 1%)</i>
Total Investment	\$87,400	

¹ Specific shares to be recommended by an authorised stock broker should you wish to proceed with this option.

Cash – existing SMSF Bank Account

Investment Name	Investment Value
Existing Cash Management Account	\$18,400
Total Investment	\$18,400

Borrowing in a SMSF

Background

From 24 September 2007 the general prohibition on superannuation funds borrowing was relaxed to allow super funds, including SMSFs, to borrow to purchase any asset they would otherwise be permitted to acquire.

How do these rules work?

These rules allow a super fund trustee to borrow money or to maintain a borrowing of money, under an arrangement where:

- the borrowing is applied for the acquisition of an asset other than one the super fund trustee would be prohibited from acquiring
- the asset is held on trust for the super fund so that the trustee acquires the beneficial interest in the asset (ie a trust is established over the asset)
- the super fund trustee has the right to acquire legal ownership of the asset after making one or more payments, and
- the rights of the lender against the super fund trustee in relation to the borrowing (and any related charges) are limited to the rights relating to the asset

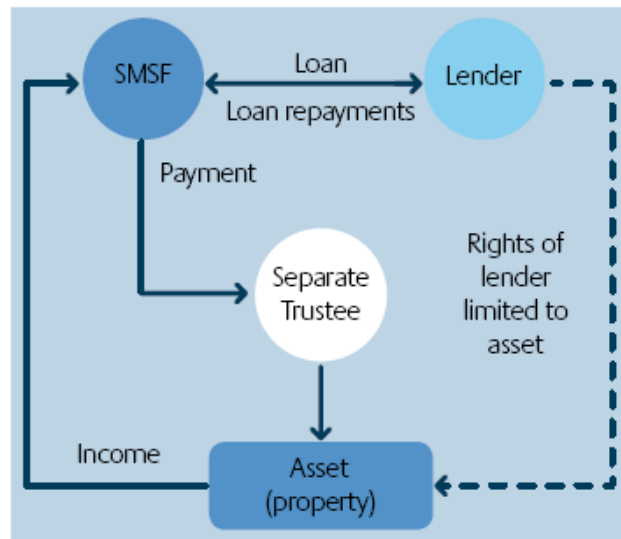
Who can make a loan to a Fund; can it be a member or a bank?

There are no restrictions on who can make a loan to a Fund. Therefore a member, a bank or any other entity could make a loan to a Fund provided the loan complies with the Superannuation Industry Supervision Act (SISA) borrowing Requirements.

Trust arrangements

A requirement of the borrowing exemption is that the asset must be held on trust for the SMSF so that the SMSF acquires the beneficial interest in the asset. That is, the SMSF will not be permitted to directly hold the legal ownership of the asset until it has paid off the loan.

A trust relationship must be established to satisfy the borrowing rules. This could be achieved by the SMSF entering into a trust relationship with another entity, such as a member of the fund, to separate the legal and beneficial ownership of an asset. In this case, the entity holding the legal ownership of the asset would be the trustee, while the SMSF would be the beneficiary and hold the beneficial ownership of the asset. As the beneficial owner of the asset, the SMSF would be entitled to all the income from the asset and is able to instruct the separate trustee to transfer the ownership of the asset to the SMSF on repayment of the loan.



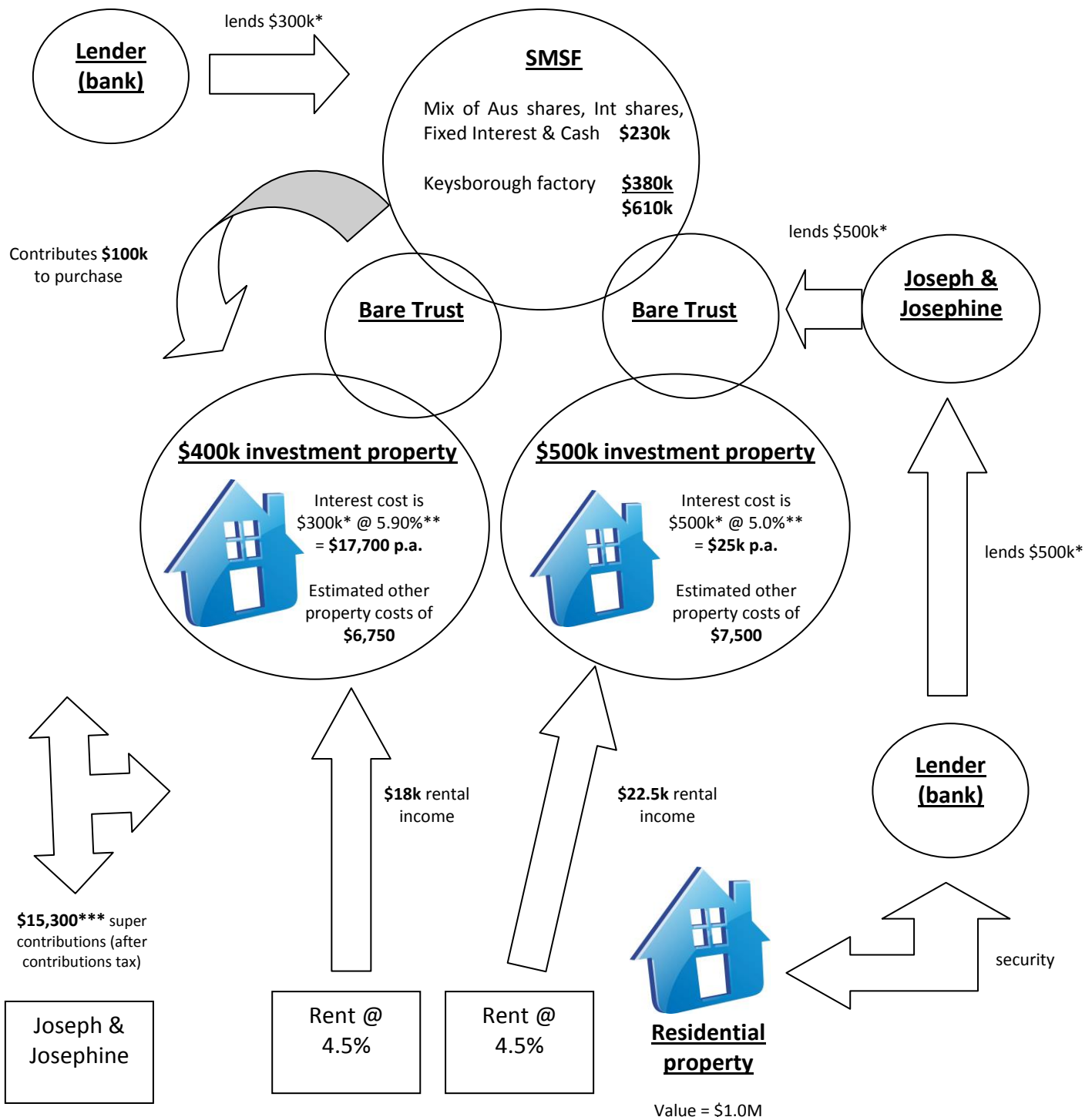
Loan requirements and practical issues

In order for the borrowing to be allowable the loan must be on a limited recourse basis only. That is, the rights of the lender against the SMSF trustee for any default on the borrowing (and any additional charges) must be limited to the rights relating to the asset that was purchased with the borrowing. These rights may include taking possession and disposing of the asset. For example, if a SMSF borrowed money to purchase an asset, such as a commercial property, the rights of the lender against the SMSF must be limited to the rights relating to that particular asset (or any replacement asset). If the SMSF then defaulted, the lender's recourse would only be against that asset. If there was any shortfall on the sale of the property that loss would be borne by the lender.

From a practical perspective the requirement for a limited recourse loan will effectively limit the amount a SMSF trustee can borrow. That is, some lenders may only be willing to lend up to a certain Loan to Value Ratio (LVR) on certain asset classes, such as property. For example, a bank lender may only be willing to lend on direct property and only up to a maximum 70% LVR.

The interest rate for a limited recourse loan may also be higher to reflect the higher risk to the lender. This may also limit a SMSF's ability to borrow in many circumstances. For example, a lender may be willing to go up to an 80% LVR on an asset but the interest rate may be so high as to make the loan so expensive, which results in losses to the SMSF.

How borrowing may work in your SMSF – Suggested Strategy



* These amounts have been used purely for illustrative purposes. This has been documented as a potential strategy as you have stated that you would like to explore property as an asset class and learn more about the tax effective ownership structures.

** The interest rate used is the current variable rate available.

*** Current net super contributions that you are making.

Planning – Recommendations

The approximate starting position of your superannuation fund under each scenario is outlined as follows:

J & J Superannuation Fund	Scenario 1 No Strategy	Scenario 2 Suggested Strategy (without transfer of Keysborough factory)	Scenario 3 Suggested Strategy
Managed Funds	\$100,000	\$230,000	\$230,000
Keysborough Factory	N/A	N/A	\$380,000
Cranbourne Land	\$230,000	N/A	N/A
New Investment Properties	N/A	\$900,000	\$900,000
Debt	Nil	(\$800,000)	(\$800,000)
NET POSITION	\$330,000	\$330,000	\$710,000

Superannuation Projections

Under each of these scenarios we have calculated your projected SMSF capital position based on the following assumptions:

- Interest only repayments are made on any loans
- Capital value of Keysborough Factory increases by 3.5% p.a.
- Capital value of new investment property increases by 6% p.a.
- Capital value of Cranbourne land increases by 2.5% p.a.
- Capital value of managed funds increase by 7% p.a.
- Investment property is sold at end of timeframe and loan is repaid
- Net superannuation contributions of \$15,300 p.a. (approximate current contributions)
- Any surplus funds are added to the managed fund each year
- **No rental income generated by the Keysborough factory**

Summaries of these projections are detailed in the following tables:

Scenario 1 – no strategy undertaken			
SMSF	Value at beginning	Value after 5 years (potential retirement)	Value after 10 years (if no earlier retirement)
Managed Funds	\$100,000	\$228,248	\$408,149
Keysborough Factory	N/A	N/A	N/A
Cranbourne Land	\$230,000	\$260,224	\$294,419
New Investment Property	N/A	N/A	N/A
Debt	Nil	\$0	\$0
NET POSITION	\$330,000	\$488,472	\$702,568

Scenario 2 – Suggested Strategy (without transfer of Keysborough factory)			
SMSF	Value at beginning	Value after 5 years (potential retirement)	Value after 10 years (if no earlier retirement)
Managed Funds	\$230,000	\$315,974	\$436,556
Keysborough Factory	N/A	N/A	N/A
Cranbourne Land	N/A	N/A	N/A
New Investment Properties	\$900,000	\$1,204,403	\$1,611,763
Debt	(\$800,000)	(\$800,000)	(\$800,000)
NET POSITION	\$330,000	\$720,377	\$1,248,319

Scenario 3 – Suggested Strategy			
SMSF	Value at beginning	Value after 5 years (potential retirement)	Value after 10 years (if no earlier retirement)
Managed Funds	\$230,000	\$315,974	\$436,556
Keysborough Factory	\$380,000	\$451,321	\$536,028
Cranbourne Land	N/A	N/A	N/A
New Investment Properties	\$900,000	\$1,204,403	\$1,611,763
Debt	(\$800,000)	(\$800,000)	(\$800,000)
NET POSITION	\$710,000	\$1,171,698	\$1,784,347

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice.

Assuming retirement after 5 years, the following returns would need to be achieved in order for you to achieve various annual retirement incomes without eroding any capital:

	Retirement Capital	Retirement Income Required (p.a.)	Required Annual Return on Capital
Scenario 1	\$488,472	\$50,000	10.24%
		\$60,000	12.28%
		\$70,000	14.33%
Scenario 2	\$720,377	\$50,000	6.94%
		\$60,000	8.33%
		\$70,000	9.72%
Scenario 3	\$1,171,698	\$50,000	4.27%
		\$60,000	5.12%
		\$70,000	5.97%

Business Structure

You are currently operating your business under the structure of a **Partnership** – J & J Giaquinta T/A Novelty Kitchens.

A **Partnership** is an association of people who carry on a business together and profits/losses are received jointly. Control of the partnership is shared with all the partners. Income tax is paid at the marginal rates of each partner in their respective returns.

Advantages:

- Relatively inexpensive to set up. A formal partnership agreement is often put in place but not essential.
- Minimal reporting requirements. Must lodge a partnership return but not financials.
- Shared management and responsibilities.
- Combined skills, experience and knowledge can provide a better product or service.
- Access to more capital.
- Greater borrowing capacity.
- Partner's share of tax losses may be offset against other personal income.
- Relatively easy to change business structure.
- Partners are not considered employees and are not subject to meet super, payroll tax or work safe requirements.

Disadvantages:

- Each partner has unlimited liability and is responsible for the debts of the partnership and the actions of other partners.
- Potential for disputes over profit sharing, administrative control and business direction.

At some stage in the future you are potentially looking to transfer the running of the business to your son Adrian. At this point in time it may be beneficial to wind up the current partnership and form a **Discretionary Trust** with a Corporate Trustee.

If a business is run through a **trust**, the trustee is legally responsible for its operations. Generally a trust's profits are distributed to its beneficiaries who pay income tax on the share of profits received at their own marginal rate. A company or trust is able to be a beneficiary of the trust. The two types of trusts to operate a business from are discretionary trusts and unit trusts.

The trustee of the **discretionary trust** can distribute income and capital gains to the beneficiaries in any way they like providing the trust distribution minutes are signed by the end of the financial year.

Advantages:

- Trustee can be a company which provides added asset protection.
- Trust income is taxed as income of the individual who receives it
- Losses can be carried forward
- Lots of opportunity for tax planning with trust being able to distribute to a variety of individuals.
- Can stream income to lower tax rate beneficiaries.

Disadvantages:

- Difficult to dissolve, dismantle or change.
- Any profits retained to reinvest in the business will incur highest marginal tax rates.
- Losses can't be distributed to beneficiaries.

Estate Planning

Although considerable emphasis is placed on wealth creation and protection, a third vital aspect of your financial strategy is the control of the manner in which your wealth will be distributed after your death.

The expression “Estate planning” represents the concept of the planning and documentation of your wishes for the distribution of your wealth following death, whether the assets are held personally or controlled by related entities such as trusts or companies.

Estate planning is a specialised area, and it is important that you obtain professional advice in relation to all areas of your estate plan. However we outline below some of the issues you should consider in designing your estate plan.

Wills and Testamentary Trusts

A Will is the first step in ensuring that the distribution of your estate is actioned in accordance with your wishes. If you die without a Will (intestate), it may be that a court will control both the manner of distribution of your estate and the persons to whom your estate is distributed, and this can cause unnecessary distress.

You have not yet advised us with regard to the status of your Wills.

Recommendation:

- **We have an arrangement with Lakeside Lawyers Pty Ltd who can assist with the implementation of an appropriate Will as soon as possible.**

It is important to ensure your Will:

- Nominates executors (and substitute executors) who are likely to survive you and who clearly understand your wishes.
- Nominates beneficiaries in relation to every segment of your estate and nominates alternative beneficiaries should your primary beneficiaries predecease you.
- Bequeaths monetary value or a percentage of your estate rather than a specific asset, as there is the risk that an asset may not be in existence at the time of distribution of the estate.
- Includes provision for the establishment of a testamentary trust, which can be a tax effective tool for distributing your estate.

Benefits:

- Peace of mind, knowing all your wishes are detailed to be carried out, and plans articulated for your immediate family to be adequately provided for in the event of your death.
- If your Will incorporates a testamentary trust, your assets would pass into a discretionary trust (or multiple trusts) and be held for the benefit of your beneficiaries, (rather than directly by them).
- This could be determined on an annual basis having regard to each beneficiary's personal income and taxation circumstances (importantly, income distributed from a testamentary trust to minors is taxed at normal adult marginal tax rates), as well as family circumstances (assets held within a testamentary trust may provide some protection in the event of family breakdown or bankruptcy).

Non Estate Assets

It is important your estate planning arrangements incorporate your entire asset base.

Recommendation:

- **We recommend you consult an approved legal practitioner. We have an arrangement with Lakeside Lawyers Pty Ltd who will be able to assist you with this.**

Although a Will constitutes a vital part of your estate planning arrangements, not all of your assets are automatically subject to the provisions of a Will. Examples of such 'assets' are as follows:

- Superannuation assets – the Trustee of a superannuation fund is required to distribute your superannuation monies (including any life insurance benefits paid as a result of the death of the member) in accordance with the Trust Deed. You usually have the option of informing the Trustee of your preferences in relation to the distribution of your funds, but this may or may not be binding on the Trustee.
- Jointly held assets – if assets are held as 'joint tenants', then upon the death of one of the owners the asset automatically passes in full to the other owner (no matter what is said in the Will of the deceased co-owner). On the other hand, assets held as 'tenants in common' are able to be disposed of as part of a Will.
- Life insurance policies – depending on the ownership of the policy, benefits can be paid to the following - the deceased's estate and therefore distributed through their Will (when the owner of the policy is also the insured person) - a person who has been nominated as the beneficiary of a policy by the deceased owner (in which case the beneficiary automatically receives the proceeds of the policy) - or any third party who owns the policy.
- Assets owned by a Trust – these assets are legally owned by the Trustee of the Trust and therefore are not able to be dealt with through a person's Will.

(Note: In recent times, the use of Trusts as an estate planning vehicle has become wide spread and your solicitor or other business adviser should be consulted if you wish to exercise a measure of control over the way in which Trust assets are managed or distributed. For example if a company acts as trustee for a Trust, you may retain an interest in the company and therefore the trust by owning shares in that company.)

- Assets owned by a company – only the deceased's shares in the company may be dealt with through their Will.

Powers of Attorney

This element of your estate plan is designed to be implemented prior to your death so that your affairs can be conducted appropriately.

You have not yet advised us with regard to the status of your Powers of Attorney.

Recommendation:

- **We recommend you consult an approved legal practitioner to ensure they are prepared as soon as possible.**
- **We have an arrangement with Lakeside Lawyers Pty Ltd who will be able to assist you with this.**
- **We recommend you consult Lakeside Lawyers Pty Ltd for a review every three years.**

There are three 'standard' types of Power of Attorney:

- A general Power of Attorney which can provide the donee with restricted or unrestricted authority over the donor's financial affairs (but not their health care). Such a policy lapses if the donor loses mental capacity.
- An enduring Power of Attorney which provides the donee with authority over the donor's financial affairs (but not their health care) until they die (i.e. it extends beyond any loss of mental capacity).
- An enduring medical Power of Attorney which provides the donee with authority over the medical needs of the donor if the donor himself is unable to make such decisions (whether temporarily or permanently).

Note 1 - A Power of Attorney may only be granted by someone who is over the age of 18 and who is of sound mind at the time of the grant and capable of fully understanding the nature and purpose of the document they are signing.

Note 2 - The attorney is not able to do anything illegal while operating under a Power of Attorney, nor is he/she able to sign a Will on behalf of the donor, or to transfer the Power of Attorney to someone else unless authorised to do so.

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of \$2,500 (Plus GST), which will be invoiced to you.

Upfront and Ongoing Fee Disclosure

An Adviser Service Fee of 0.60% will apply to any Colonial FirstChoice investments implemented. This is generally paid until the investment is redeemed. The actual amount will vary over time according to the mix of the underlying investments and the total value of your funds under management. The actual amount will be dependent on the investment options implemented.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

I am not a registered tax (financial) adviser under the Tax Agents Services Act. You should seek advice from a registered tax (financial) adviser or a registered tax agent before relying on my advice.

Are My Product Recommendations Restricted?

Non Superannuation Products

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Colonial First State

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of \$5,000 (\$1,500 for super) is required to establish an account in FirstChoice Investments. A \$1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is \$100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

Sector Specific Diversification

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

Simplicity

Consolidated reporting from Colonial First State.

Ease of Management

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

Highly competitive and simple to understand fee structure

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
 - Our normal 0.60% p.a. Adviser Service fee will apply.
- No switching fees or exit fees apply to this investment.

Appendix B – Duties Act 2000

S41 Transfers to trustees or custodians of superannuation funds or trusts

(1) No duty is chargeable under this Chapter in respect of a transfer of dutiable property made without monetary consideration to a trustee or custodian of a complying superannuation fund, a complying approved deposit fund, a pooled superannuation trust or an eligible rollover fund, or a fund or trust that, in the opinion of the trustees, will be a complying superannuation fund, a complying approved deposit fund, a pooled superannuation trust or an eligible rollover fund within 12 months after the transfer takes effect, where there is no change in the beneficial ownership of the property.

(2) A transfer of property to or from a trustee or custodian of a pooled superannuation trust in exchange for the issue or redemption of units in the trust does not, for the purposes of this section, effect a change in the beneficial ownership of the property.

(3) A transfer of property to a trustee or custodian of a complying superannuation fund, a complying approved deposit fund or an eligible rollover fund by a beneficiary of the fund does not, for the purposes of this section, effect a change in the beneficial ownership of the property.